

Q The timing of your entry in the market can be seen in two ways—as too late, or right on time. How do you view this?

Panasonic aims to become the No 1 household electronics brand in the Indian market by 2018, when the company celebrates its 100th year since establishment. And to achieve such a high target, one has to have a clearcut strategy in place. It is imperative that we understand the ways by which we can attain exponential growth on the back of our products. Back in 2008, when we re-entered the market, the company had a 10-year plan with three mid-term goals in place. The first mid-term base was to be built on durables, which we have done over the past couple of years. The second mid-term base takes us to the most vibrant market in India, as of now, i.e., smartphones. Till 2015, we will portray ourselves as a youthful and vibrant brand. Which is why, this is the perfect time for Panasonic to make the jump and become more enterprising.

Those in the smartphone segment in India are still learning the trade. The segment is still young in terms of its user base, and the

penetration levels are still low. Also, the consumer needs and technology are evolving. So, one can safely say that the Indian smartphone market is a goldmine for any company, at least for the next three to five years and no firm needs to feel that it is making a late entry. The market may be crowded but the untapped user base is still comparable to the existing user base.

Q What will be your overall product strategy and will you launch a hybrid Android device?

For Panasonic, Android is the best platform for devices like smartphones and tablets, while Windows 8 will be used on our Toughbook and laptop/ultrabook range. Hybrid Android devices are an interesting product category, but the market viability speaks for itself and it is still too early to diversify into those segments for the company.

Q What are Panasonic's expectations from the smartphone segment over the next couple of years?

We are looking to generate a revenue of around \$1 billion from the smartphone business by FY 2015. It may sound like an ambitious target for a company that has just set its foot on the peddle when it comes to the segment, but if you look at the global market right now, I think that with the road-map we have set for our products over the next couple of years, Panasonic will

be able to touch the targeted figure.

Q What is the marketing strategy for the smartphone business, and how much do you intend to invest in it?

We will be investing close to Rs 2000 million as a part of our marketing strategy for the smartphone business. Of this, close to Rs 1000 million will be spent on advertising, while the rest of the sum will be invested for setting up experiential touch-points for consumers, for road-shows, in-shop marketing, etc. ATL (above the line advertising like TV and print ads) and BTL (below the line) activities to the tune of Rs 500 million assigned for each, will be undertaken.

Q Is India the de facto global market for Panasonic smartphones right now?

We are only focusing on India from now on. It is an immense opportunity for us and with the maturing smartphone market, the growing consumer durable segment and the evolving tastes of consumers, these are exciting times for any company focusing on this market. Panasonic is part of that contingent.

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Q You had earlier talked about launching tablets also. Could you elaborate on that?

As I mentioned earlier, our Android focus will centre on smartphones

and tablets. The smartphone segment will be the high priority business for Panasonic from now on (especially in view of our targets) and tablets will be a close second. Like the smartphone market, the tablet market is expected to eclipse the traditional PC market, which is a big achievement. And going forward, the scales will further tilt towards tablets, which is why Panasonic will be launching its own consumer products in the 17.7-cm (7-inch) and 25-cm (10-inch) segments.

Q Is Panasonic looking at other open source platforms for its upcoming devices?

Android will be the only open source OS that we will focus on, at least for this year. We understand and realise more platforms like Firefox and Tizen are coming up this year, and that these are especially meant for smartphones and tablets. But like most of the companies, we believe Android is the way to go (for now), while the other alternatives need to be given time to mature, evolve and hit the right notes with consumers and manufacturers. 